

P&G's EPC Advantaged Strategy

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P&G EPC Team

Working Together. Winning Together.

P&G **Gillette**

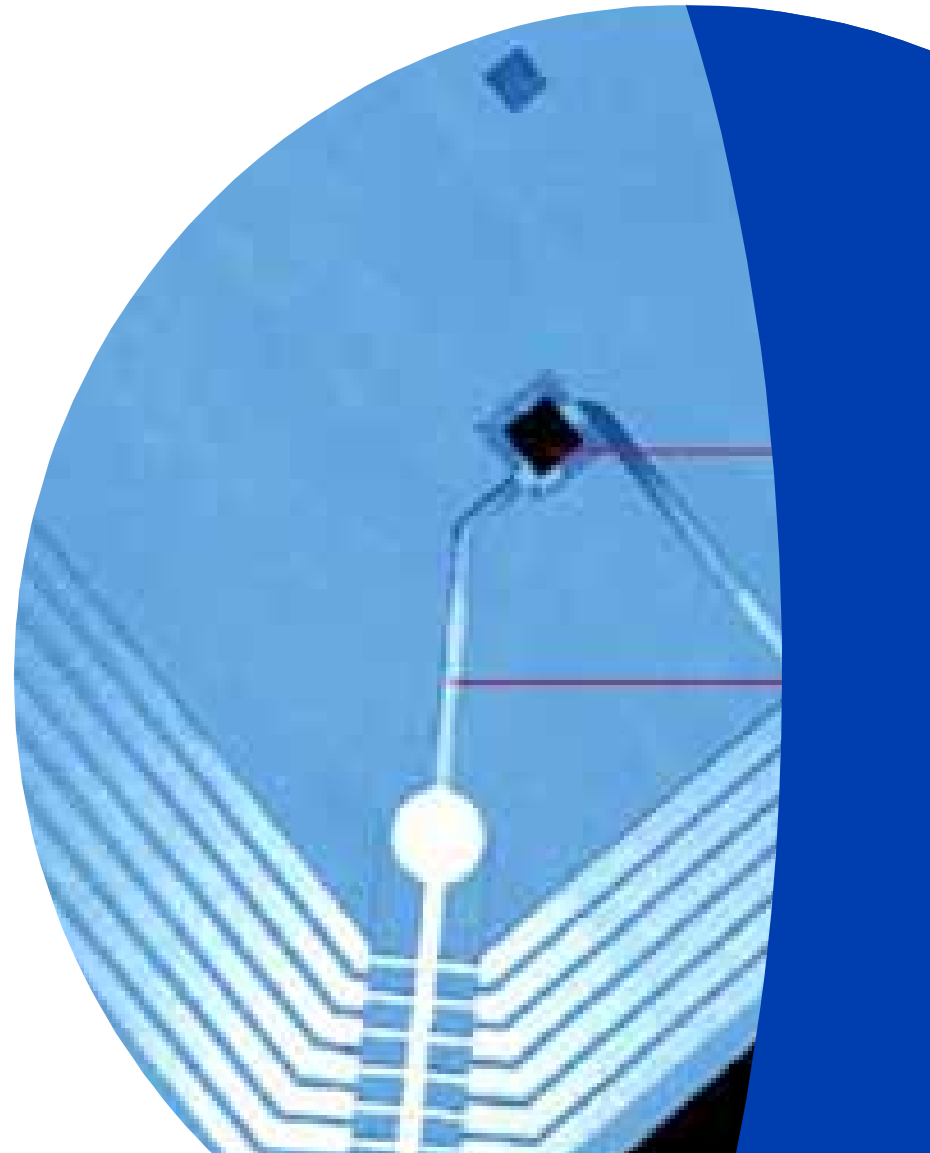


Better Retail Availability... Fewer Out-of-Stocks



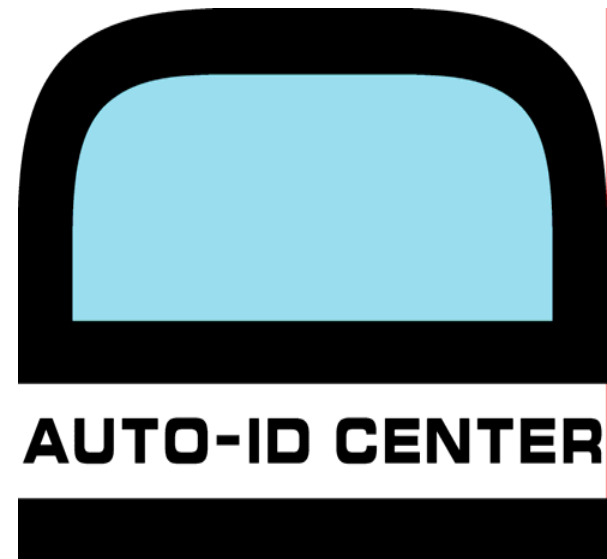
Transforming The Supply Network

- The Electronic Product Code (EPC) provides inventory visibility that enables new processes that will allow goods to move more efficiently through the supply network resulting in:
 - Less loss
 - Fewer inaccuracies
 - Better product availability
 - Greater customer & consumer satisfaction



P&G and Gillette Co-Founded the Auto-ID Center at MIT in 1999

- The Auto-ID Center, founded at the Massachusetts Institute of Technology, led the development of a unique product-identifying application using Radio Frequency Identification ...**The Electronic Product Code (EPC)**



In 2005, P&G and Gillette Merged to Create One Company

- The two company's EPC teams have also combined
- Shared learning from the two businesses enabled the new P&G to develop a unified approach to EPC deployment
- Our commitment to and vision for EPC remains unchanged



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Gillette/P&G Actively Engaged in Pilots

- In-house and retail pilots are critical
 - Test / learn about the technology
 - Create scalable system solutions & work process modifications
 - Develop & validate the business case
 - Expand pilots in areas / products that deliver business benefits **NOW!**
 - Continue to increase learning for future deployment



Gillette Began In-House Pilot in 2003

- In 2003, Gillette commenced a major pilot within its Packaging and Distribution Center outside of Boston



Let's Walk Through The Pilot...

Cases are EPC tagged



The SKU is scanned for each production run



The SKU is used to generate the unique EPC

Production Line Details			
Schubert 92			
Current Product :	Venus 8 (SKU: 4008)	change	
Pallet Building Summary at	Schubert 92: Pallet Building		
Pallet Building Control	(Start)		
Errors in Last 5 Minutes			
Location	Error Time	Type	Details
No results were returned for this query.			



The pallet moves from the pack center to the DC via a verification tunnel



The cases are aggregated to a pallet



The EPC is written, verified & recorded

Let's Walk Through The Pilot...

Pallet is identified using
one or more EPC tags



The DC receives goods
and data verifies
payment to pack center



Customer order is
processed and verified

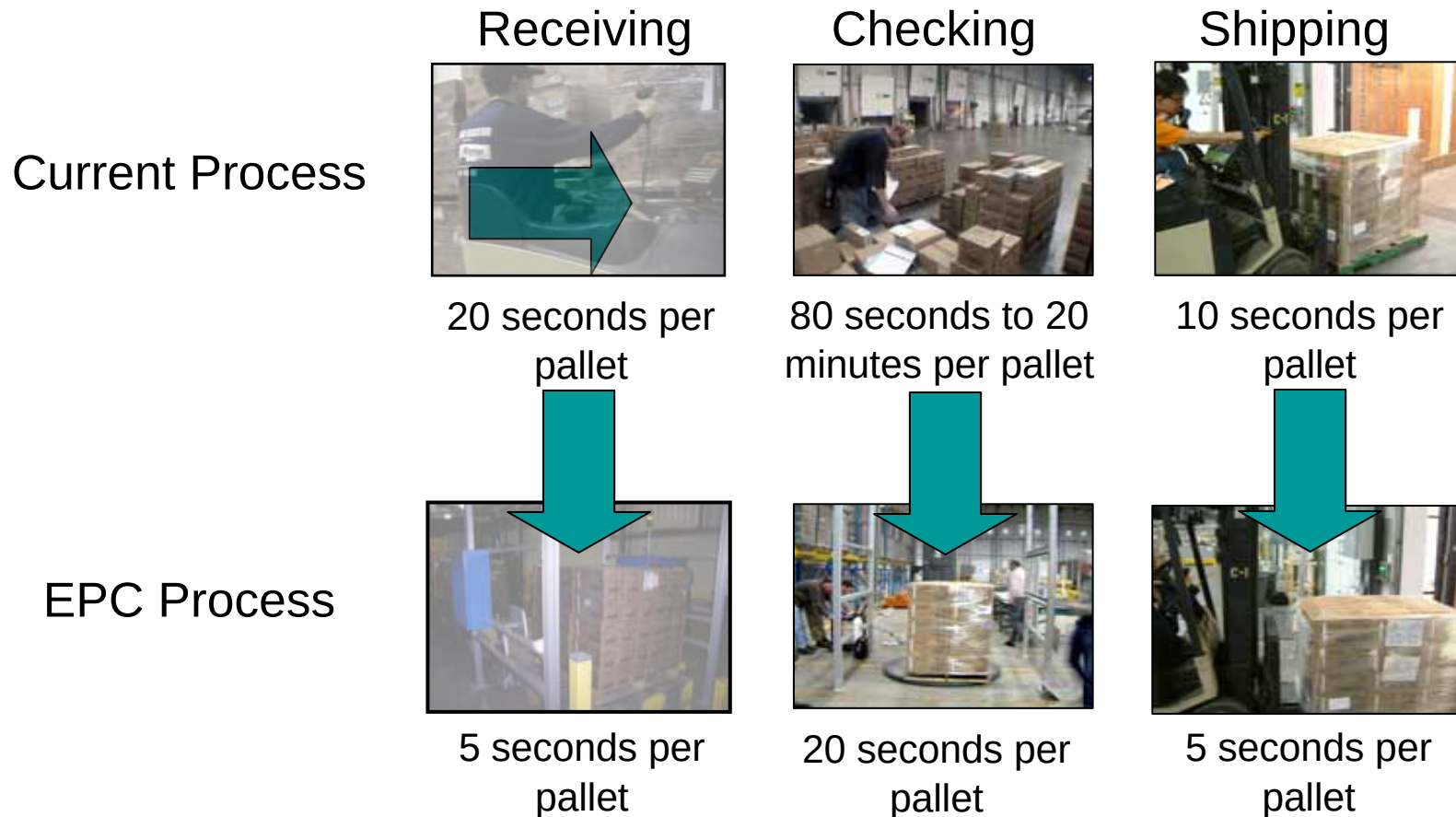


Efficient
Accurate
Transparent



Exit door readers record
and confirm shipment

Comparing the Current Process to an EPC- Enabled Process Revealed Significant Benefits

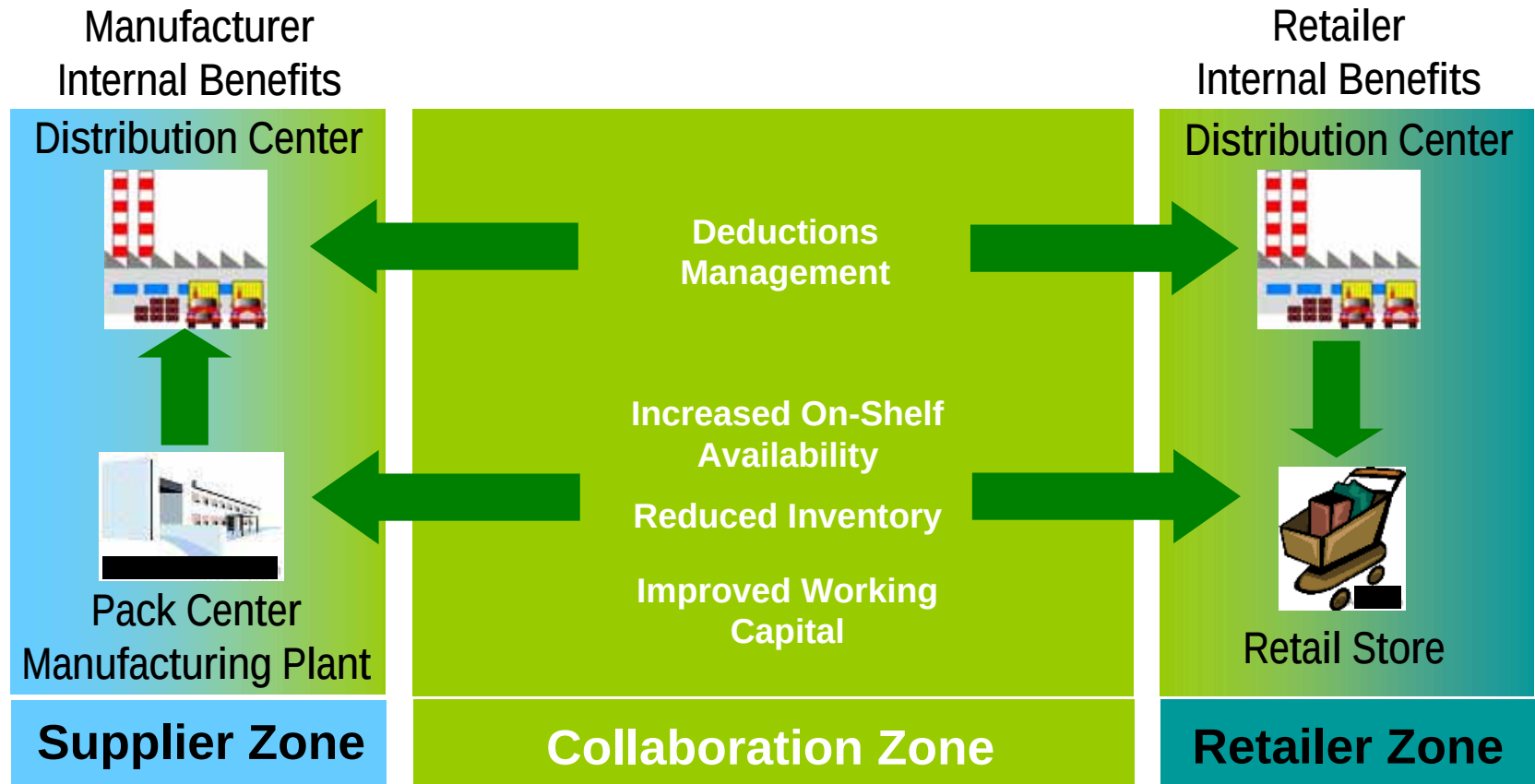


Pilots with Retail Partners

- Verify tag read rates and accuracy
- Confirm inventory visibility
- Understand current work processes and develop process modifications to leverage EPC intelligence
- Demonstrate collaborative (supplier / retailer) benefits



Collaboration Gains Comprise over 90% of Total Benefits for Retailers and Suppliers



Pilots were Conducted to Demonstrate the Benefits of Tagging Promotional Displays and New Items

- Incremental sales
- More shopper satisfaction
- Greater leverage of marketing investment
- Improved labor productivity



The Rationale for the Display Compliance Business Case

- High value of display versus small tag cost
- 20-40% of stores are not compliant
- 20% sales lift by being in-stock/on time
- Display tagging is easier, read rates and tag survival rates are high

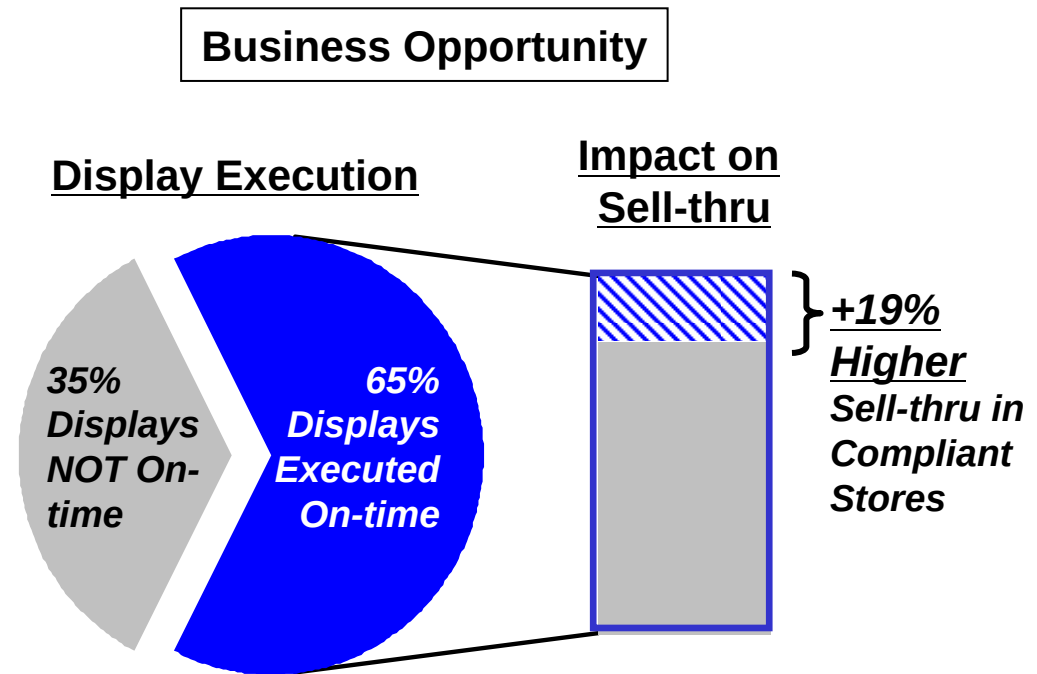


Venus Disposables Promotion Pilot

EPC-tagged displays shipped to stores.
Promotion supported with advertising.

EPC reads provided visibility so displays could be 'fast tracked' to sales floor

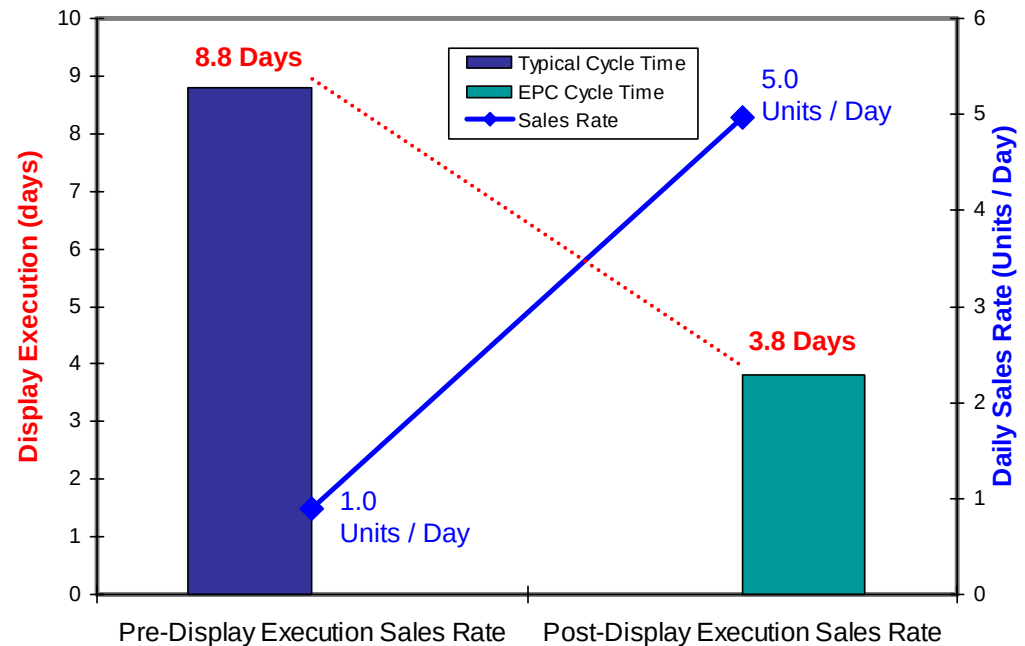
- Idle inventory eliminated
- In-stock at all times
- Incremental sales recorded



Oral-B Pulsar New Item Pilot

Off-shelf displays critical to generating shopper interest and increasing daily sales

- For a new product launch, EPC alerts enabled **56% reduction in Display Execution Cycle Time** and showed that having consumer visibility of Displays resulted in a **5x increase in unit sales**



Gillette Fusion Launch

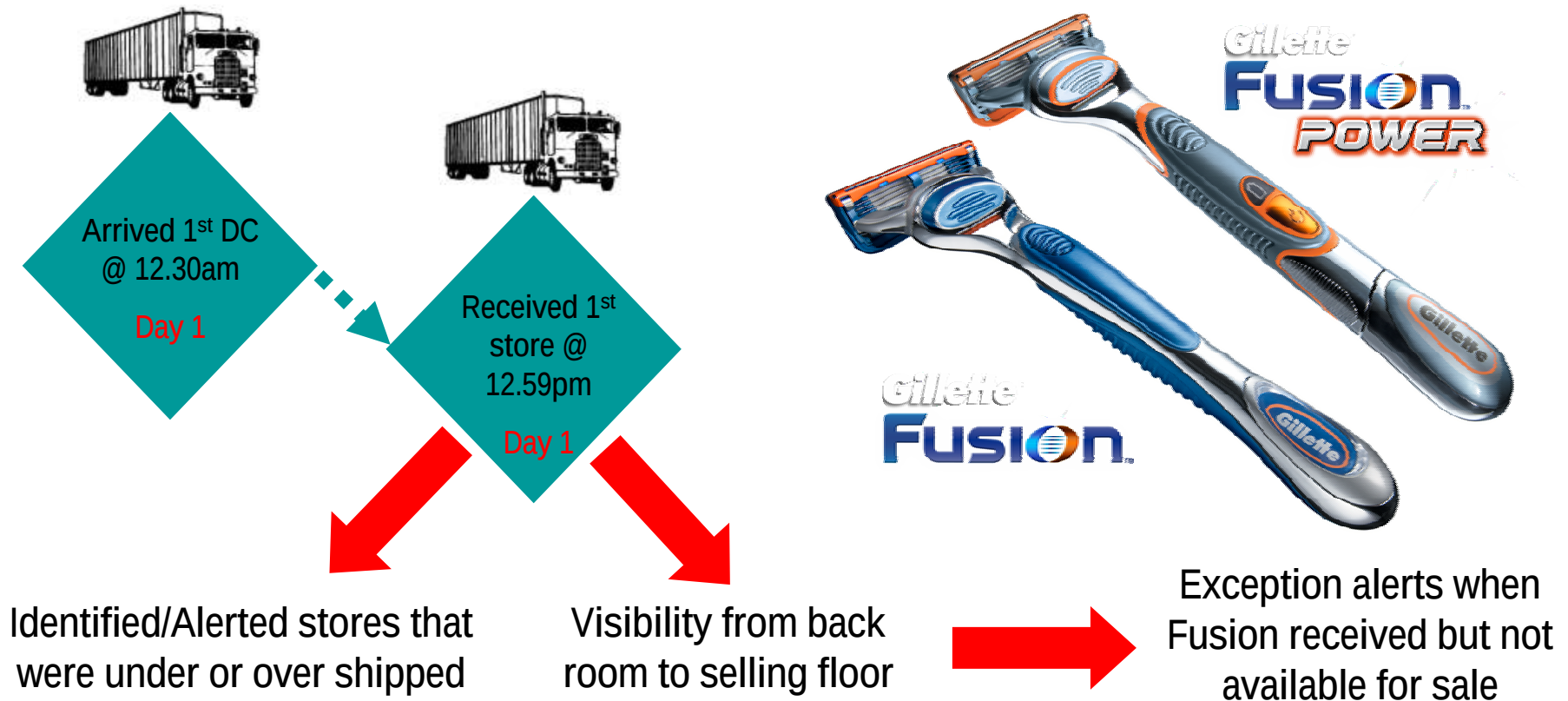
EPC used in EPC-enabled stores to help ensure perfect retail execution to coincide with 2006 Super Bowl launch

- The first new product packaging designed to be 'EPC-friendly'
- EPC used on Fusion cases, sidekicks, PDQ trays and pallets
- Two retail partners, four DC's and over 400 stores



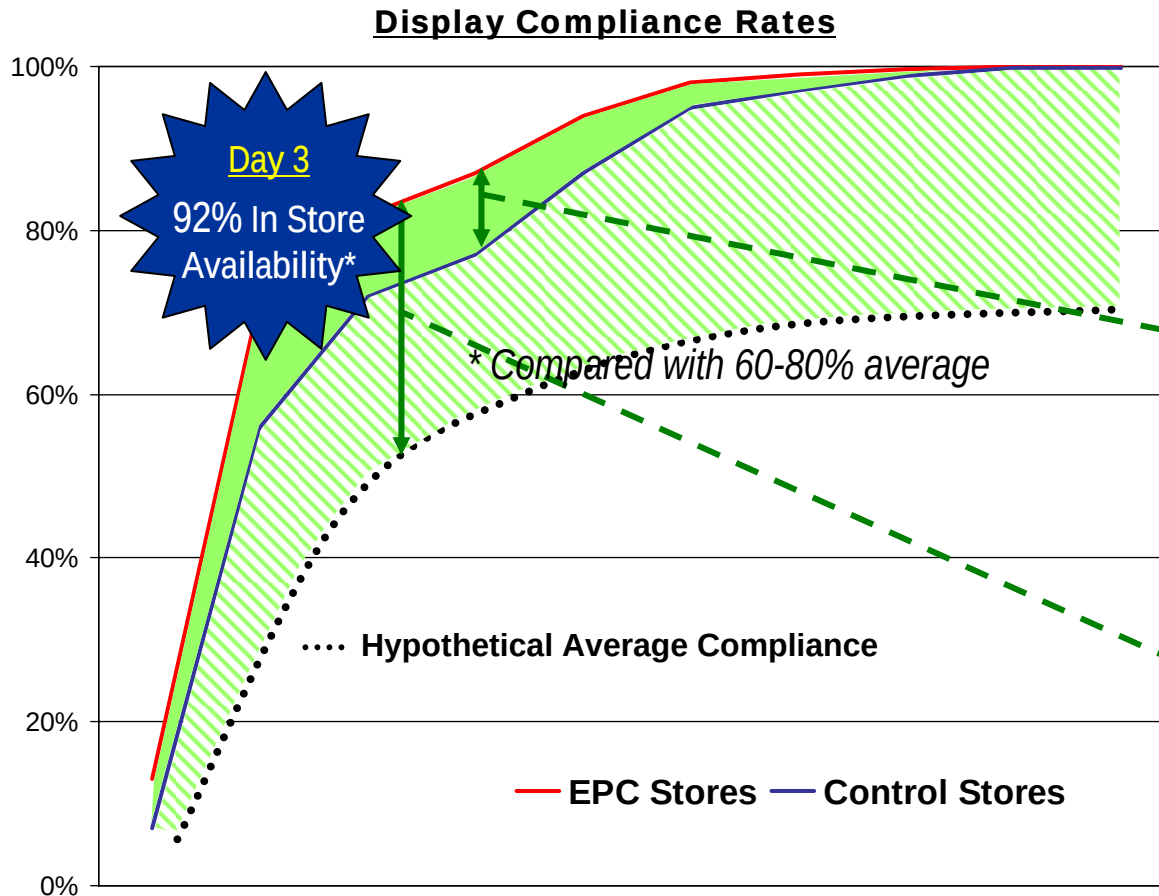
Gillette Fusion Launch - Learning

EPC visibility enabled process modification targeting non-compliant stores



Gillette Fusion Launch - Learning

On average, EPC-enabled Stores achieved earlier compliance and realized greater sales compared to Control Stores



The value EPC provides is to improve performance in non-compliant stores by providing “actionable visibility” data to enable process modification

Given the importance of and commercial support for Fusion, Compliance was extraordinarily high. For “average” launches, EPC can potentially provide more benefit.



P&G's EPC Advantaged Strategy



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The EPC Advantaged Strategy

- A phased deployment framework based on P&G / Gillette's combined experience, learning and focus on delivering value
- Our pilots confirm that EPC can help retailers and manufacturers work collaboratively to meet shoppers' needs
- Our Advantaged Strategy is designed to deliver business benefits to both P&G and our retail partners **now**
- It gives P&G the flexibility to expand its pilots while continuing to learn for future deployments



EPC Advantaged Strategy

- Tiering of products and scenarios based on a value proposition and product characteristics



- “Advantaged”
 - Higher value products with stronger business cases for EPC. Includes, display modules supporting time sensitive merchandise.



- “Testable”
 - Products chosen to support continued testing that can enable the proving of additional value propositions through work process change

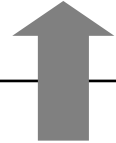
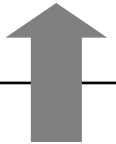


- “Challenged”
 - No clear value yet, based on specific product or handling obstacles

EPC Advantaged Strategy

- Tiering allows for specific approaches focused on value creation to enable increasing (tagged) volume

	Approach	Product Examples
 Advantaged	Delivers benefits NOW: higher sales, productivity, reduced out of stocks based on key retail process changes already identified	Promotional display modules Crest White Strips Gillette Blades and Razors
 Testable	Drives new learning and tests with some scale. Identifies the next round of Advantaged products and scenarios	Swiffer Braun appliances
 Challenged	Drives continued research at the manufacturer	Manual toothbrushes Pringles Cascade Anti-perspirants/deodorants



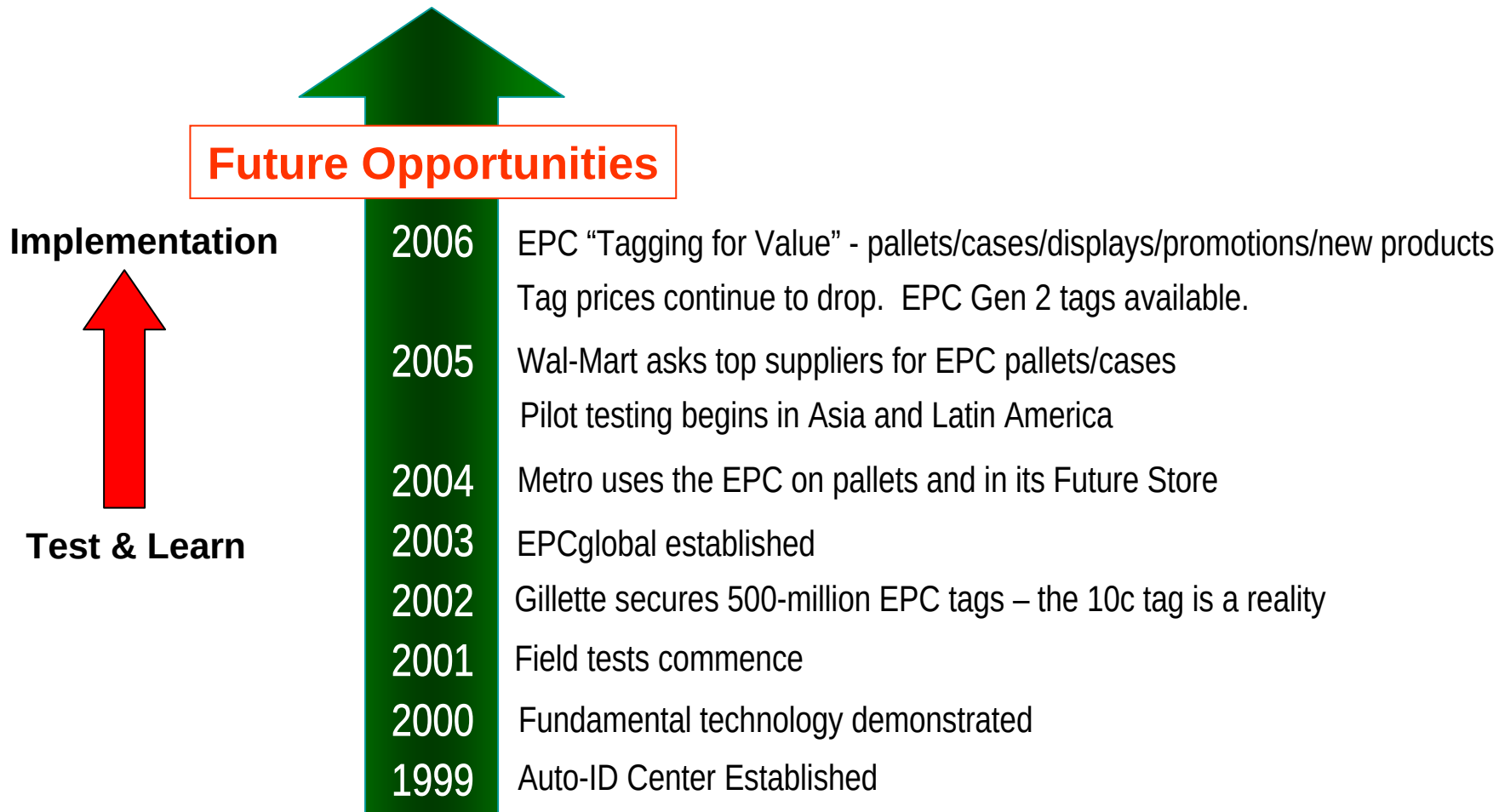
EPC Industry Development



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The Development of the EPC has Progressed Steadily

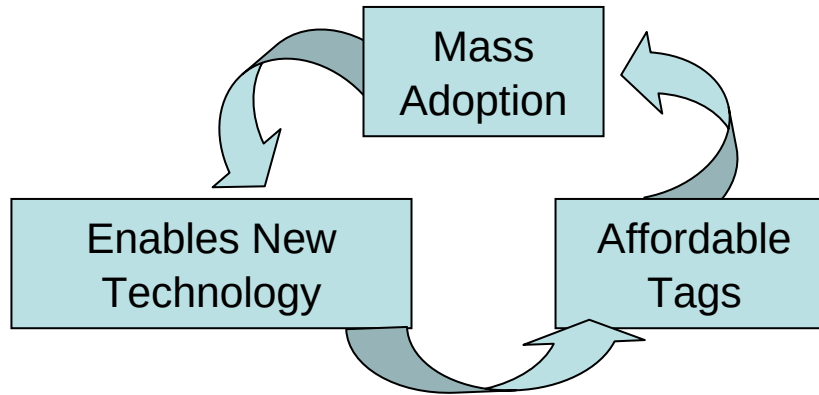


EPC Gen2 Tags

- “Step change” improvement in technology
 - Global tag
 - Enhanced read / write performance
 - Added functionality
- P&G’s initial Gen2 testing results are very encouraging and demonstrate that Gen2 is significantly ‘better’ than Gen1
- Retailers push for quick migration path
 - P&G has started testing Gen2 tags with retail partners
 - All P&G EPC systems will be converted to Gen2 by June 30th



Applied Tag Cost

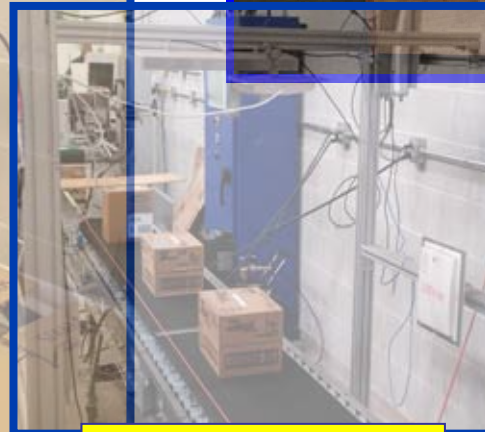
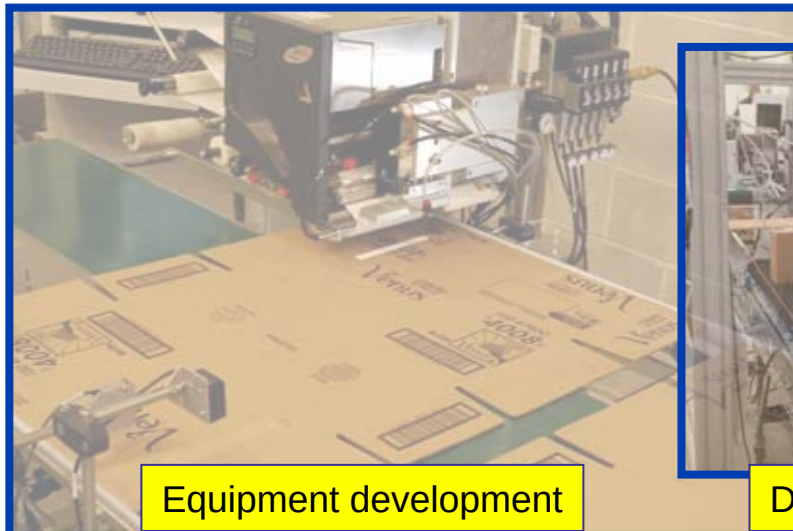
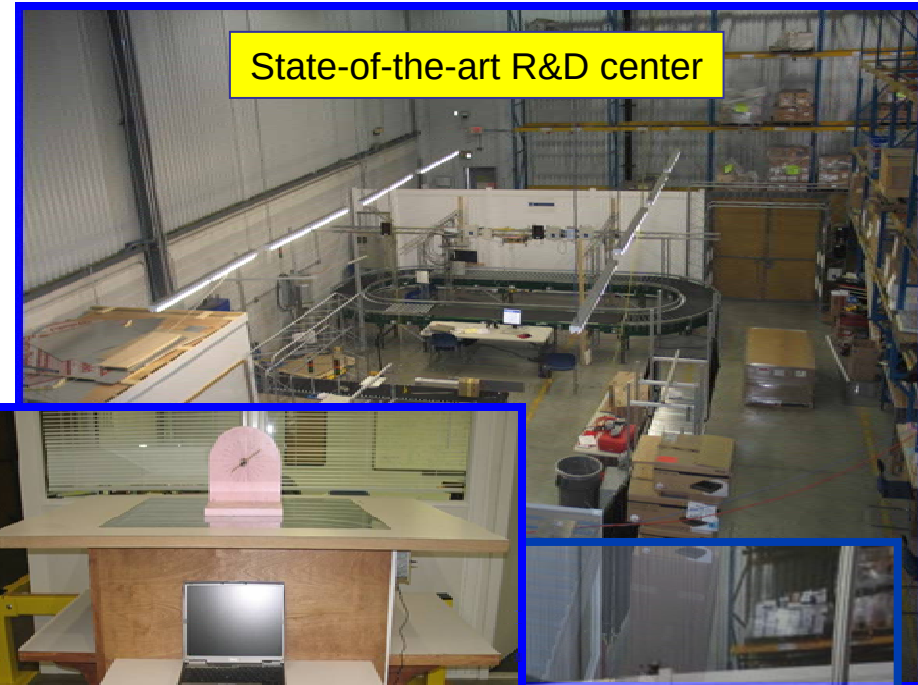


- Cost Goal.... <5¢ per applied tag versus ~10¢ to 30¢ today
- Develop cost effective tagging solutions - Tag@Corrugate for source tagging
 1. Short-term: Purchase corrugate with pre-applied & pre-screened tags
 2. Mid-term: Develop new tag integration technologies
 3. Long –term: breakthrough tag / antenna technologies



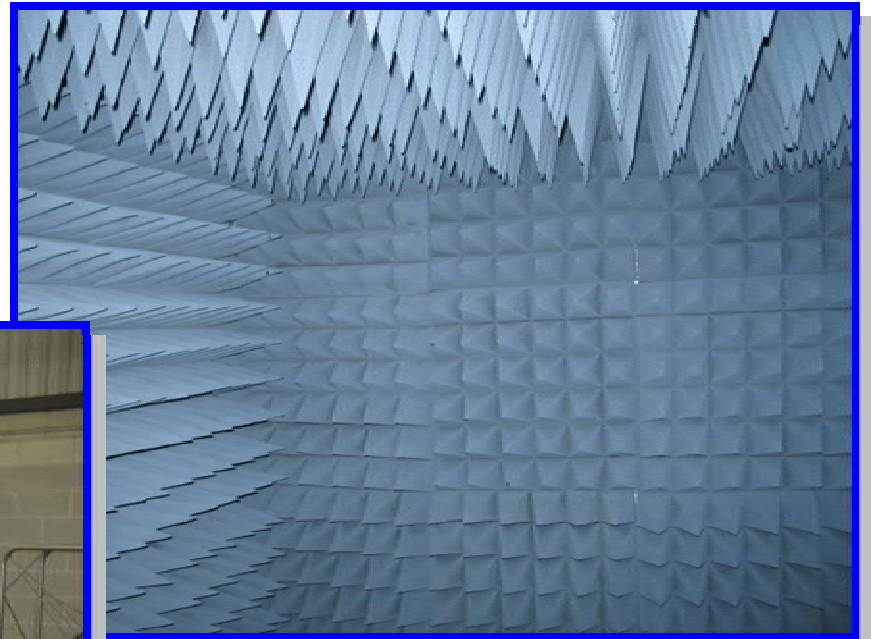
P&G's EPC Development Lab

- To advance P&G's EPC / RFID global technical learning
- To test / qualify P&G products for compliance to EPC standards
- To develop / test new EPC equipment
- To evaluate system solutions prior to production implementation
- To globally support deployment of technology with operational teams



New Lab Capabilities – Anechoic Chamber

- Anechoic Chamber
 - Provides RF ‘noise’ free chamber to evaluate tag performance
 - Enables the development of a ‘score’ of how well a tag performs
 - Supports EPCglobal lab certification



New Lab Capabilities – Pallet Tester

- Pallet Tester – “Sled”
 - Variable speed automated track for pallet testing
 - Enables testing of reading all cases on a homogenous or mixed pallet



Control System

Reader Portal

Automated Track

In Closing...

- EPC adoption is progressing
- Seeing benefits today – “actionable EPC visibility” is enabling process change
- A phased deployment of products based on a value proposition can lead to business benefits **now**...
P&G’s “*EPC Advantaged Strategy*”
- Continued learning will lead to new “discoveries”
- Fewer retailers but those involved are developing strong capabilities
- Those that understand and use EPC first will have a competitive advantage



In Closing... (cont'd)

- Technology is evolving, becoming less expensive and more global. Gen2 - key enabler!
- Global Standards will continue to drive down costs making it easier for more manufacturers, retailers and new industries to adopt
- What we need..
 - Low-cost, highly repeatable ways to incorporate tags into corrugate materials
 - Total system solutions built into EPC appliances
- EPCglobal is 3 years old, well organized with strong leadership, capably resourced and providing user-driven standards to drive global, multi-industry adoption of EPC



Thank You!



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